RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Fraud Risk Management in Commercial Banks, 2026

Reference number: RBI/2026-27/47 DBS.FRD.REC/06/2026

Date: May 18, 2026

1. Governance and Early Warning

1.1 These Directions shall apply to all scheduled commercial banks, and each bank shall constitute a Fraud Monitoring Group which will review fraud cases and monitoring outcomes at least once every month.

1.2 Regulated Entities shall operate an Early Warning Signal framework for loan accounts, and accounts exhibiting red-flag indicators shall be labelled as Red Flagged Accounts with enhanced monitoring within 15 days of detection.

1.3 Regulated Entities shall complete staff-accountability examination for frauds above rupees fifty lakh within 6 months of detection, and findings shall be placed before the Board-level committee overseeing frauds.

2. Reporting and Provisioning

2.1 Regulated Entities shall report frauds of rupees one lakh and above to the Reserve Bank through Fraud Monitoring Reports within the stipulated timelines, and delays shall be escalated to the Chief Compliance Officer with reasons recorded.

2.2 Regulated Entities shall provide in full for fraud-declared accounts as per the mandated provisioning schedule, and provisioning computations shall be independently verified before finalisation of quarterly results.

2.3 Regulated Entities shall commission forensic audits for frauds above the Board-approved threshold, and the scope shall cover fund trails, related-party linkages and control failures contributing to the fraud.

2.4 Regulated Entities shall report confirmed frauds to the Central Fraud Registry with complete borrower particulars, and registry data shall be consulted during credit appraisal of new exposures above rupees fifty lakh.

3. Customer Protection and Review

3.1 Regulated Entities shall provide zero liability to customers for unauthorised transactions reported within the stipulated time, and eligible claims shall be settled within 10 working days of reporting by the customer.

3.2 Regulated Entities shall conduct fraud-awareness programmes for customers across digital and branch channels at least once every twelve months, and campaign reach records shall be maintained for supervisory review.

3.3 The Board of Directors shall review fraud risk at least once every six months covering modus operandi trends, recovery position and control improvements, and minutes shall record time-bound remediation actions.